

The main difference between the management accounting and the financial accounting is that:

- Management accounting information is only accessible by the shareholders
- Financial accounting information is not available to the internal stakeholders
- Financial and Management accounting information is available to both internal and external stakeholder
- Financial accounting information is more structured, and rule based than the Management accounting

John an owner of a business withdrew £500 from his business account. The correct entry would be:

- Dr Equity and Cr Expense
- Dr Expense and Cr Asset
- Dr Cash and Cr Equity
- Dr Equity and Cr Revenue

Whenever sales is recorded it always leads to increase in the capital of the business

- True
- False

To *increase* the balance in the following accounts, would you debit the account or would you credit the account?

Accounts Payable	Debit	Credit
Cash	Debit	Credit
Land	Debit	Credit
Accounts Payable	Debit	Credit
Accounts Receivable	Debit	Credit
Mary Smith, Capital	Debit	Credit
Supplies	Debit	Credit
Supplies Expense	Debit	Credit
Prepaid Insurance	Debit	Credit
Service Revenue	Debit	Credit
Mary Smith, Drawing	Debit	Credit
Equipment	Debit	Credit
Unearned Revenue	Debit	Credit

The owner of the business takes £100 cash and goods costing £200 for his family. The proper journal entry for this transaction is:

- Drawings > Debit; Cash > Credit; Purchases > Credit
- Drawings > Debit; Cash > Credit; Merchandise > Credit
- Drawings > Debit; Cash > Credit; Sales > Credit
- Cash > Debit; Purchases > Debit; Drawings > Credit

Mr. Smith invests £10,000 cash in his business. The account to be credited is:

- Cash
- Profit
- Income
- Capital

The correct entry for the sale of merchandise on account is:

- Accounts Receivable > Debit; Profit > Credit
- Cash > Debit; Sales > Credit
- Accounts Receivable > Debit; Asset > Credit
- Accounts Receivable > Debit; Sales > Credit

In which of the following accounts there is a credit balance?

- A. Wages outstanding
- B. Return inwards
- C. Motor vehicles
- D. Prepaid rent